

Amazon.com, Inc.

Recommendation **BUY** ★ ★ ★ ★ ★

Price USD 2,447.00 [as of market close Jun 03, 2022] **12-Mo. Target Price** USD 3,400.00 **Report Currency** USD **Investment Style** Large-Cap Growth

Equity Analyst Arun Sundaram, CFA, CPA

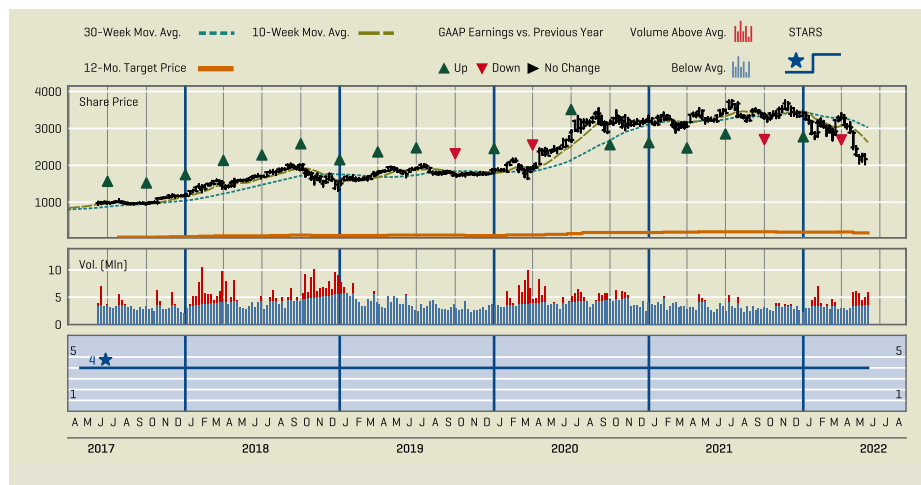
GICS Sector Consumer Discretionary
Sub-Industry Internet and Direct Marketing Retail

Summary Amazon.com, Inc. is a leading global e-commerce retailer, as well as a major provider of cloud computing services to companies, individuals, and governments.

Key Stock Statistics [Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports]

52-Wk Range	USD 3773.08 - 2025.2	Oper.EPS2022E	USD 27.19	Market Capitalization[B]	USD 1244.84	Beta	1.23
Trailing 12-Month EPS	USD 41.69	Oper.EPS2023E	USD 51.32	Yield [%]	N/A	3-yr Proj. EPS CAGR[%]	7
Trailing 12-Month P/E	58.69	P/E on Oper.EPS2022E	90.00	Dividend Rate/Share	N/A	SPGMI's Quality Ranking	B
USD 10K Invested 5 Yrs Ago	24,306.0	Common Shares Outstg.[M]	509.00	Trailing 12-Month Dividend	N/A	Institutional Ownership [%]	60.0

Price Performance



Source: CFRA, S&P Global Market Intelligence

Past performance is not an indication of future performance and should not be relied upon as such.

Analysis prepared by **Arun Sundaram, CFA, CPA** on Apr 29, 2022 07:59 AM ET, when the stock traded at **USD 2,617.00**.

Highlights

- We forecast revenue growth of 14% in 2022 and 18% in 2023, which follows 22% growth in 2021 and 38% growth in 2020. In 2022, we see AMZN generating more revenue from services (AWS, advertising, fulfillment services, subscriptions) than products (online stores, physical store) for the first time in the company's history. This mix shift should benefit margins as services command much higher operating margins than e-commerce sales.
- AWS represents a little over 10% of AMZN's total annual revenues but more than 2/3rds of Amazon's annual operating profits. Operating margins in AWS are likely to exceed 30% in 2022, up from about 28% in 2018, and over the longer term, we think AWS margins could hit 40% from greater economies of scale. AWS could generate more than \$25 billion in operating profit this year, which will be vital for fueling AMZN's investments in retail, logistics, and streaming.
- AMZN is experiencing some intense cost headwinds, but our expectation is these pressures ease in the back half of 2022 as worker productivity improves [AMZN doubled its headcount over 2 years] and AMZN rightsizes capacity to meet normalizing demand. AWS growth should also help offset inflationary pressures in retail.

Investment Rationale/Risk

- Our opinion is Buy. Although AMZN's e-commerce growth will likely moderate in 2022 due to tough comps and record inflation in the U.S. [could negatively impact consumer spending], the potential growth in its higher-margin services platform [e.g., AWS, ads, fulfillment, subscriptions] remains a catalyst. We see stronger growth in the back half of 2022 as AMZN cycles through elevated labor and supply chain costs from 2021 and scales back investments in areas like headcount and wages, noting AMZN has more than doubled its employee base over the past two years. AWS is by far AMZN's cash cow, with operating margins likely approaching 35% this year.
- Risks to our opinion and target price include regulatory challenges, persistent supply chain and labor issues, and rising competition in e-commerce and cloud services. Another concern is lower consumer spending in 2022 amid record inflation and less fiscal support vs. 2021.
- Our 12-month target price of \$3,400 is calculated using a 2022 EV/EBITDA multiple of 23x versus 25x long-term average. We think a discount is warranted given recent market volatility amid rising interest rates and the impact of high inflation on consumer spending.

Analyst's Risk Assessment

LOW	MEDIUM	HIGH
-----	--------	------

Our risk assessment reflects AMZN's position as a global leader in e-commerce and cloud computing services. The company also has a diversified set of profit streams, derived from both products [e.g., online stores, physical stores] and services [e.g., advertising, fulfillment, subscriptions, Amazon Web Services]. We think AMZN has a competitive edge due to its size and scale, as it spent approximately \$60 billion in capital expenditures in 2021 [more than any other U.S. retailer]. Finally, its balance sheet is strong with a net debt/adj-EBITDA ratio of just 0.3x as of 2021 [\$96 billion in cash and marketable securities].

Revenue/Earnings Data

	Revenue (Million USD)				
	1Q	2Q	3Q	4Q	Year
2023	E 135,167	E 141,799	E 156,488	E 195,055	E 628,509
2022	116,444	E 119,731	E 132,275	E 165,039	E 533,489
2021	95,504	102,945	112,435	139,146	451,254
2020	75,452	88,912	96,145	125,555	386,064
2019	59,700	63,404	69,981	87,436	280,522
2018	51,042	52,886	56,576	72,383	232,887

Earnings Per Share (USD)

	1Q	2Q	3Q	4Q	Year
2023	E 9.97	E 12.23	E 12.04	E 17.08	E 51.32
2022	3.62	E 4.66	E 8.63	E 10.25	E 27.19
2021	15.79	15.12	6.12	27.81	64.81
2020	5.01	10.30	12.37	14.08	41.83
2019	7.09	5.22	4.23	6.50	23.01
2018	3.27	5.07	5.75	6.03	20.14

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical GAAP earnings are as reported in Company reports.

Dividend Data

No cash dividends have been paid in the last year.

Business Summary Apr 29, 2022

CORPORATE OVERVIEW. Since opening for business as “Earth’s Biggest Bookstore” in July 1995 and going public in 1997 at a split-adjusted stock price of \$1.50 per share, Amazon.com has expanded into a number of other product categories, including apparel, shoes, and jewelry; electronics and computers; movies, music and games; toys, kids and baby; sports and outdoors; home and garden; tools, auto and industrial; grocery; health and beauty; and digital downloads.

Over the years, Amazon has expanded into several service offerings, including fulfillment, advertising, publishing, subscriptions (e.g., Amazon Prime membership), as well as its leading cloud computing business called Amazon Web Services [AWS]. AWS offers a broad set of on-demand technology services, including compute, storage, database, analytics, and machine learning. Amazon is now a services company just as much as it is a product company, as services revenues comprised 49% of total annual revenues in 2021, up from 39% of total annual revenues in 2018.

As of December 2021, Amazon had more than 200 million members worldwide.

The breakdown of 2021 net sales and operating income by reporting segments are as follows: North America, 60% and 29%; International, 27% and -4%; and Amazon Web Services [AWS], 13%, and 75%. The breakdown of 2021 revenues by channels are as follows: online stores, 47%; physical stores, 4%; third-party seller services, 22%; subscriptions services, 7%; advertising services, 7%; Amazon Web Services, 13%; and other, 0%.

PRIMARY BUSINESS DYNAMICS. Amazon’s business is highly intensive in terms of operating and capital expenditures. Over the past several years, the company has significantly ratcheted up its spending to build out its extensive infrastructure for shipping/logistics and delivery/fulfillment. In addition, the company has also heavily invested in other areas such as hardware devices, video content, and international expansion -- including its Amazon Web Services division -- resulting in some barriers to entry. However, AMZN faces intense price competition from bricks and mortar retailers as well as other Internet retailers. Other challenges and weaknesses inherent in Amazon’s business model include low switching costs for consumers when shopping online and search engines that simplify and enable comparison shopping.

Strengths of the company, in our view, include: strong brand name recognition; the breadth and depth of the company’s product lines; a user feedback feature that we think helps to build trust and increase customer loyalty; what we see as a strong balance sheet, with over \$96 billion in cash and marketable securities vs. \$49 billion in long-term debt; and efficient deployment of capital on technology to help promote a fast, user-friendly shopping experience.

M&A. In March 2022, Amazon closed on its deal to acquire MGM Holdings Inc. [MGM] for \$8.45 billion, its second largest acquisition ever. Amazon’s largest acquisition was Whole Foods (a leading retailer of natural and organic foods) in August 2017 for \$13.7 billion in cash. In June 2020, it acquired Zoox, a start-up provider of autonomous vehicles, for about \$1.2 billion. In September 2018, the company acquired PillPack, an online pharmacy company, for about \$753 million. In February 2018, AMZN acquired Ring, a start-up provider of smart home technology applications, for about \$839 million.

KEY DEVELOPMENTS. In February 2022, Amazon announced it will increase the price of a Prime membership in the U.S., with the monthly fee going from \$12.99 to \$14.99 and the annual membership from \$119 to \$139. This is the first time Amazon has raised the price of Prime since 2018. For new Prime members, the price change will go into effect on February 18, 2022, and for current Prime members, the new price will apply after March 25, 2022, on the date of their next renewal.

In July 2021, Andy Jassy (formerly the CEO of Amazon Web Services) was elevated to become the company’s CEO, replacing Jeff Bezos (who founded the company), who transitioned into a newly created role of executive Chairman role.

FINANCIAL TRENDS. Revenues grew 22% in 2021, a deceleration from 2020 [+38%] which benefited an acceleration in e-commerce trends amid the Covid-19 lockdowns and stay-at-home orders. Operating income has increased between 5%-6% each of the last four years. Operating margins fell to 5.3% in 2021 from 5.9% in 2020, but remains above pre-pandemic levels (2019 operating margins were about 5.2%). Adj-EBITDA margins were 15.3% in 2021, up from 14.9% in 2020.

On March 9, 2022, Amazon’s Board of Directors approved a 20-for-1 split of the company’s common stock. Each shareholder at the close of business on May 27, 2022 will have 19 additional shares for every one share held. Trading is expected to begin on a split-adjusted basis on June 6, 2022. This would be the fourth stock split in Amazon’s history. Amazon previously announced a 2-for-1 split in July 1999, a 3-for-1 split in November 1998, and a 2-for-1 split in April 1998.

On March 9, 2022, Amazon’s Board of Directors authorized a \$10 billion share repurchase program, which would allow the company to repurchase its shares opportunistically from time to time when it believes that doing so would enhance shareholder value. This program replaces the previous \$5 billion repurchase program from 2016, which had about \$2.9 billion remaining.

Amazon has never declared or paid cash dividends.

Corporate information

Investor contact

D. Fildes [206 266 1000]

Office

410 Terry Avenue North, Seattle, Washington, 98109-5210

Telephone

206 266 1000

Fax

N/A

Website

www.amazon.com

Officers

President, CEO & Director

A. R. Jassy

President, CEO & Director

A. R. Jassy

Chief Technology Officer

W. Vogels

Founder & Executive

Chairman

J. P. Bezos

Senior VP & CFO

B. T. Olsavsky

VP, Worldwide Controller

& Principal Accounting

Officer

S. L. Reynolds

Senior VP, General Counsel

& Secretary

D. A. Zapolsky

Board Members

A. R. Jassy

J. P. Bezos

D. P. Huttenlocher

J. S. Gorelick

E. W. Cooper

K. B. Alexander

I. K. Nooyi

P. Q. Stonesifer

J. A. McGrath

W. P. Weeks

J. J. Rubinstein

Domicile

Delaware

Auditor

Ernst & Young LLP

Founded

1994

Employees

1,608,000

Stockholders

7,282

Quantitative Evaluations						Expanded Ratio Analysis							
Fair Value Rank	1	2	3	4	5			2021	2020	2019	2018		
	LOWEST				HIGHEST								
	Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued [1] to most undervalued [5].					Price/Sales	3.65	4.30	3.32	3.22			
Fair Value Calculation	USD 2,414.18	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that AMZN is overvalued by USD 32.82 or 1.34%				Price/EBITDA	29.02	34.50	25.63	27.05			
						Price/Pretax Income	45.01	68.65	66.70	66.64			
						P/E Ratio	51.45	77.86	80.31	74.58			
						Avg. Diluted Shares Outstg. [M]	515.00	510.00	504.00	500.00			
						Figures based on fiscal year-end price							
Volatility	LOW		AVERAGE		HIGH	Key Growth Rates and Averages							
Technical Evaluation	NEUTRAL	Since June, 2022, the technical indicators for AMZN have been NEUTRAL"				Past Growth Rate [%]		1 Year	3 Years	5 Years			
						Net Income		56.41	49.06	69.70			
Insider Activity	UNFAVORABLE	NEUTRAL	FAVORABLE	Sales		21.70	26.36	28.14					
				Ratio Analysis [Annual Avg.]									
				Net Margin [%]		7.10	5.59	4.56					
				% LT Debt to Capitalization		19.79	18.11	23.78					
				Return on Equity [%]		28.81	26.06	23.87					
Company Financials Fiscal year ending Dec 31													
Per Share Data [USD]				2021	2020	2019	2018	2017	2016	2015	2014	2013	2012
Tangible Book Value				231.37	145.94	86.86	50.69	22.70	30.71	18.33	14.32	14.04	10.83
Free Cash Flow				-29.10	51.85	43.83	35.52	13.35	19.83	14.24	4.22	4.44	0.87
Earnings				64.81	41.83	23.01	20.14	6.15	4.90	1.25	-0.52	0.59	-0.09
Earnings [Normalized]				28.46	26.72	16.88	14.08	4.67	4.82	2.03	-0.10	0.59	0.52
Dividends				N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Payout Ratio [%]				NM	NM	NM	NM	NM	NM	NM	NM	NM	NM
Prices: High				3,773	3,552	2,036	2,051	1,213	847.21	696.44	408.06	405.63	264.11
Prices: Low				2,881	1,626	1,461	1,171	747.70	474.00	285.25	284.00	242.75	172.00
P/E Ratio: High				58.20	84.90	88.50	NM	NM	NM	NM	NM	NM	NM
P/E Ratio: Low				44.50	38.90	63.50	58.10	NM	96.70	NM	NM	NM	NM
Income Statement Analysis [Million USD]													
Revenue				469,822	386,064	280,522	232,887	177,866	135,987	107,006	88,988	74,452	61,093
Operating Income				24,879	22,899	14,541	12,421	4,106	4,186	2,233	178.00	745.00	676.00
Depreciation + Amortization				34,296	25,251	21,789	15,341	11,478	8,116	5,646	4,187	2,802	1,832
Interest Expense				1,809	1,647	1,600	1,417	848.00	484.00	459.00	210.00	141.00	92.00
Pretax Income				38,155	24,194	13,962	11,270	3,802	3,796	1,546	-74.00	435.00	389.00
Effective Tax Rate				12.60	11.80	17.00	10.60	20.20	37.50	61.40	-225.70	37.00	110.00
Net Income				33,364	21,331	11,588	10,073	3,033	2,371	596.00	NM	274.00	NM
Net Income [Normalized]				14,655	13,625	8,510	7,040	2,301	2,335	969.40	NM	272.50	236.90
Balance Sheet and Other Financial Data [Million USD]													
Cash				96,049	84,396	55,021	41,250	30,986	25,981	19,808	17,416	12,447	11,448
Current Assets				161,580	132,733	96,334	75,101	60,197	45,781	35,705	31,327	24,625	21,296
Total Assets				420,549	321,195	225,248	162,648	131,310	83,402	64,747	54,505	40,159	32,555
Current Liabilities				142,266	126,385	87,812	68,391	57,883	43,816	33,887	28,089	22,980	19,002
Long Term Debt				54,944	35,216	23,414	23,495	24,743	7,694	8,227	8,265	3,191	3,084
Total Capital				277,684	198,144	139,593	78,065	71,817	39,698	30,896	24,750	15,680	12,601
Capital Expenditures				61,053	40,140	16,861	13,427	11,955	7,804	5,387	4,893	3,444	3,785
Cash from Operations				46,327	66,064	38,514	30,723	18,365	17,203	12,039	6,842	5,475	4,180
Current Ratio				1.14	1.05	1.10	1.10	1.04	1.04	1.05	1.12	1.07	1.12
% Long Term Debt of Capitalization				19.80	17.80	16.80	30.10	34.50	19.40	26.60	33.40	20.40	24.50
% Net Income of Revenue				7.10	5.50	4.10	4.30	1.70	1.70	0.60	-0.30	0.40	-0.10
% Return on Assets				4.19	5.24	4.69	5.28	2.39	3.53	2.34	0.24	1.28	1.46
% Return on Equity				28.80	27.40	21.90	28.30	12.90	14.50	4.90	-2.40	3.10	-0.50

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Sub-Industry Outlook

Our near-term fundamental outlook for the Internet retail sub-industry is positive. We see continued disruption by key players such as Amazon, Netflix, and others, as more consumers migrate their shopping and entertainment experiences from traditional retail points of sales and distribution channels to online platforms that are leveraged to technology advancements. Also, while the recent outbreak of Covid-19 could benefit the aforementioned key players via increased in-home video streaming and/or online shopping, the global pandemic could dislodge the e-commerce supply chain in China and elsewhere, and portends a significant negative impact on online travel companies such as Booking Holdings and Expedia.

Research firm eMarketer projects that U.S. e-commerce sales will increase from almost \$587 billion in 2019 to almost \$970 billion by 2023, which implies a four-year compound annual growth rate [CAGR] of 13.4%, more than triple the growth rate for the overall retail space (including brick-and-mortar stores). From a macroeconomic viewpoint, we have a relatively tempered near-term outlook for global consumer spending on such discretionary items as entertainment subscriptions or travel-related online bookings for hotels and airline tickets.

Meanwhile, we think a number of relatively under-penetrated international markets -- both developed and emerging -- could offer even more compelling opportunities for longer-term growth in e-commerce. In part, we think this reflects relatively low broadband penetration across international markets relative to the U.S. To this end, companies such as Amazon are currently pursuing aggressive international expansion in Europe and the Asia Pacific, mainly through organic growth initiatives. Yet, other firms, including online travel companies, such as Booking Holdings and Expedia, generate a very sizable portion of revenues and operating cash flow from international markets, thanks in part to a streak of acquisitions over the past few years. Further M&A activity could be on the horizon, after

Amazon's recent deals for Whole Foods and PillsPack, which could result in further industry consolidation among the top players.

From an industry perspective, online merchants typically provide consumers with a relatively strong combination of convenience, selection, information, and value compared to off-line competitors, based on our channel checks and analysis. Amid intensifying competition in the online space, e-commerce leader Amazon is also expanding its private-label offerings, while further expanding into new product and service categories in the face of intensifying competition from specialty online retailers such as Wayfair, Etsy, and others.

Advancements in technology have made e-commerce transactions easier to complete and more reliable and secure, helping to drive sales, we think. Conversely, heavy infrastructure investments in technology and fulfillment -- including further expansion across emerging international markets such as India -- could weigh on reported earnings. However, continued strength in the U.S. dollar could result in persistent foreign currency headwinds for an Internet retail universe with sizable (and growing) international exposure.

In 2020, the S&P Internet & Direct Marketing Retail Index advanced 69.1%, significantly outpacing a 15.8% increase the S&P Composite 1500 Index. In 2019, the sub-industry rose 21.4% versus a 28.3% advance for the broader market benchmark.

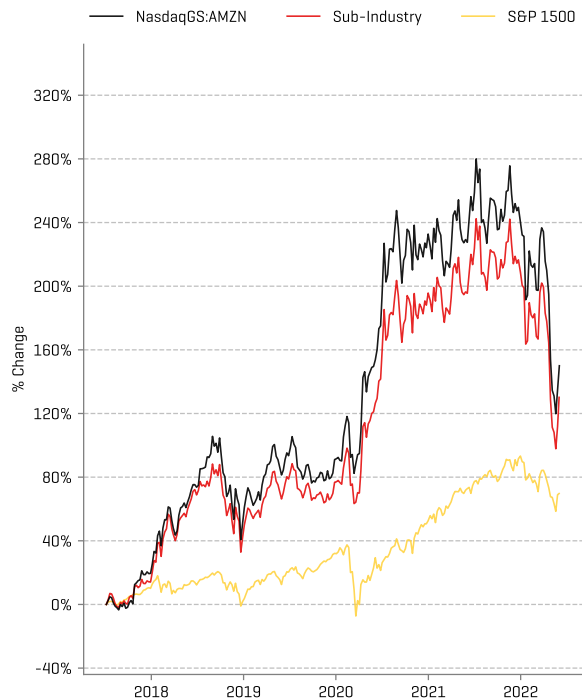
/ Tuna N. Amobi, CFA, CPA

Industry Performance

GICS Sector: Consumer Discretionary Sub-Industry: Internet and Direct Marketing Retail

Based on S&P 1500 Indexes

Five-Year market price performance through Jun 04, 2022



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.

All Sector & Sub-Industry information is based on the Global Industry Classification Standard [GICS].

Past performance is not an indication of future performance and should not be relied upon as such.

Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Internet and Direct Marketing Retail Peer Group*: Internet and Direct Marketing Retail

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. [M]	30-Day Price Chg. [%]	1-Year Price Chg. [%]	P/E Ratio	Fair Value Calc.	Yield [%]	Return on Equity [%]	LTD to Cap [%]
Amazon.com, Inc.	AMZN	NasdaqGS	USD	2,510.22	1,277,000.0	1.0	-22.4	60.0	2,414.18	N/A	18.0	19.3
Alibaba Group Holding Limited	BABA	NYSE	USD	97.50	260,812.0	-2.9	-55.6	29.0	46.61	N/A	4.4	10.6
Chewy, Inc.	CHWY	NYSE	USD	29.18	12,273.0	-3.7	-62.4	NM	N/A	N/A	-147.4	N/A
Coupang, Inc.	CPNG	NYSE	USD	13.18	23,229.0	-2.6	-67.7	NM	N/A	N/A	-54.8	13.7
DoorDash, Inc.	DASH	NYSE	USD	72.97	29,004.0	-7.8	-51.3	NM	N/A	N/A	-11.4	N/A
Etsy, Inc.	ETSY	NasdaqGS	USD	87.29	11,096.0	-13.2	-50.2	29.0	68.26	N/A	64.1	74.3
JD.com, Inc.	JD	NasdaqGS	USD	58.00	88,616.0	-6.7	-24.2	NM	N/A	N/A	-4.8	5.1
MercadoLibre, Inc.	MELI	NasdaqGS	USD	836.74	42,153.0	-16.0	-38.6	229.0	N/A	N/A	23.4	41.7
Pinduoduo Inc.	PDD	NasdaqGS	USD	52.67	66,595.0	20.0	-62.4	39.0	57.31	N/A	19.1	15.3
Wayfair Inc.	W	NYSE	USD	63.77	6,712.0	-29.0	-80.8	NM	N/A	N/A	27.7	150.4
eBay Inc.	EBAY	NasdaqGS	USD	47.77	26,744.0	-10.6	-24.7	NM	174.66	1.8	-30.6	41.1

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.

NA-Not Available; NM-Not Meaningful.

Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

April 29, 2022

07:18 AM ET... CFRA Maintains Buy Opinion on Shares of Amazon.com, Inc. [AMZN 2632.00****]:

We lower our 12-month target by \$500 to \$3,400 on '22 EV/EBITDA of 23x vs. 25x historical mean. We lower our '22 adj-EPS estimate [ex-stock comp and Rivian stake] to \$27.19 from \$43.01 and 2023's to \$51.32 from \$63.27. Q1 operating income of \$3.7B [-59% Y/Y] fell short of the \$5.4B consensus, as OPEX came in \$2B above expectations. AMZN incurred \$6 billion of incremental costs in Q1 [\$2B freight/wage inflation + \$2B low productivity from Omicron and new workforce + \$2B fixed cost deleverage from excess capacity]. The last two cost buckets [productivity + fixed costs] are controllable and should improve as the year progresses. The first bucket [inflation] will likely be around but should be offset through growth of the higher-margin services businesses [e.g., AWS, ads, fulfillment, subscriptions], noting AWS shows no signs of slowing down with operating margins topping 35% and contract commitments up 68% Y/Y to \$89B. We keep a Buy, as Street estimates for '22 and '23 are now likely coming back down to earth. / Arun Sundaram, CFA, CPA

March 23, 2022

07:55 AM ET... CFRA Maintains Buy Opinion on Shares of Amazon.com, Inc. [AMZN 3292.00****]:

We lift our 12-month target by \$100 to \$3,900 on a '22 EV/EBITDA of 23x vs. 25x historical average. We lower our '22 EPS to \$43.01 from \$49.98 and 2023's to \$63.27 from \$73.47. AMZN's e-commerce growth will likely moderate in '22 due to tough comps and record inflation in the U.S., but the potential growth in its higher-margin services platform [e.g., AWS, ads, fulfillment, subscriptions] remains a catalyst. Subscription revenue could see as much as \$2 billion of incremental operating profit following the Prime membership price increase to \$139/year from \$119/year. AMZN's \$31 billion in '21 ad revenue was primarily driven from e-commerce, but we see AMZN emerging as a major video-ad competitor following its \$8.45 billion MGM deal, rights to NFL's Thursday Night Football, and the rollout of additional Amazon Originals [e.g., Lord of the Ring series]. AWS shows no signs of slowing down with cloud contract commitments up 61% Y/Y in 4Q to \$80.4 billion. Key risks are regulation and supply chain and labor issues. / Arun Sundaram, CFA, CPA

February 04, 2022

12:05 AM ET... CFRA Keeps Buy Opinion on Shares of Amazon.com, Inc. [AMZN 3189.00****]:

We keep our 12-month target price of \$3,800 on '22 price-to-sales of 3.5x vs. near the peer average of 3.3x and AMZN's 5-year average of 3.7x. With more investments, we cut '22 EPS estimate by \$8.89 to \$49.98 and set '23's at \$73.47. Against tempered expectations, we think AMZN's Q4 '21 results and somewhat conservative Q1 '22 guidance eased concerns as it navigates inflationary pressures and supply chain disruptions. With some indications of pricing power, it raised Prime annual subscription to \$139 [vs. \$119] and monthly to \$14.99 [\$12.99]. Q4 EPS of \$27.79 vs. \$14.09 handily beat consensus \$3.44. Net sales rose 9% [vs. target 4%-12%] with Amazon Web Services [+40%], ads [+32%], physical stores [+17%], and e-commerce domains: online stores [-1%] vs. third-party sellers [+12%], subscriptions [+15%]. Consolidated EBIT was \$3.58B [vs. target \$0B-\$3.0B] with evident cost containment. AMZN sees Q1 sales growth of 3%-8% [vs. year-ago 44% fueled by the pandemic] and consolidated EBIT of \$3.0B-\$6.0B [vs. \$8.9B]. / Tuna N. Amobi, CFA, CPA

February 02, 2022

06:23 PM ET... CFRA Keeps Buy Opinion on Shares of Amazon.com, Inc. [AMZN 2904.39****]:

We have very tempered expectations for AMZN's Q4 '20 results set after the market's closing on Thursday, with relatively lackluster guidance for 4%-12% sales growth and \$0 billion to \$3.0 billion operating income. With a projection of about \$4 billion in incremental operating costs in Q4 through the holiday selling season, the key constraints will likely include supply chain disruption, labor cost inflation, and staffing challenges that are mostly attributable to the pandemic. We expect much of those pressures to persist in the first half — and potentially into H2 — through what could be another year of heavy investments in related areas [including headcount, cloud, streaming content, devices, fulfillment, etc.]. Still, we see notable bright spots in Amazon Web Services [AWS] and digital advertising growth, among other areas. Also, the regulatory review process for AMZN's pending \$8.45 billion acquisition of

MGM Studios could come into sharper focus against the recurring overhang of Big Tech regulation. / Tuna N. Amobi, CFA, CPA

October 29, 2021

05:38 PM ET... CFRA Keeps Buy Opinion on Shares of Amazon.com, Inc. [AMZN 3372.41****]:

We cut our 12-month target price by \$200 to \$3,800 on '22 price-to-sales of 3.4x, near its peers. We cut '21 and '22 EPS estimates by \$16.03 and \$13.77 to \$42.61 and \$58.87. After its mixed Q3 results, we infer AMZN's lackluster Q4 guidance [4%-12% sales growth and \$0B-\$3.0B operating income] partly underscores its highly tempered expectations on supply chain disruption, labor cost inflation, and staffing challenges for the crucial holiday selling season that could ease in '22, aside from very difficult comparisons to a very robust prior season that was fueled by the pandemic. Q3 EPS of \$6.12 vs. \$12.37 was \$2.84 below the consensus. Net sales rose 15% [vs. target 10%-16%] with an acceleration at Amazon Web Services [+39%], as well as "other" including digital ads [+50%] vs. notable e-commerce sub-segments: third-party sellers [+18%], subscriptions [+23%] and online stores [+3%]. With added supply chain, labor, and fulfillment costs, consolidated EBIT was \$4.8B [vs. target \$2.5B-\$6.0B], with Covid-19 costs. / Tuna N. Amobi, CFA, CPA

October 27, 2021

12:19 PM ET... CFRA Keeps Buy Opinion on Shares of Amazon.com, Inc. [AMZN 3392.31****]:

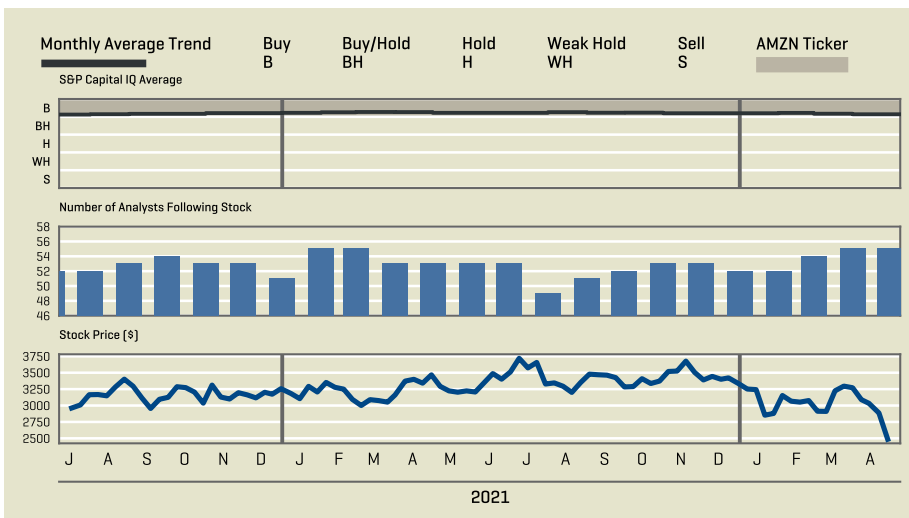
AMZN's expected Q3 results after the market close on October 28 will be its first earnings release under new CEO Andy Jassy, the former head of its Amazon Web Services unit, who has seemed well aligned to the founder Jeff Bezos' strategic vision. While its Q3 guidance for 10%-16% sales growth and \$2.5B-\$6.0B operating income portends relatively tempered expectations [vs. H1 '21 and full-year '20], AMZN could approach the higher ends of those targets. We expect AWS to be scrutinized through the lens of very strong Q3 results from its two closest competitors, Microsoft Azure and Google Cloud [with Q3 revenues up 36% and 45%, respectively]. While AMZN's logistics/fulfillment infrastructure seems well positioned ahead of the crucial holiday selling season, we are wary of potential supply chain disruptions due to the Delta variant. We are also looking for any update on AMZN's pending \$8.45B deal for MGM Studios, for which we still see slightly favorable odds of approval against a specter of Big Tech regulation. / Tuna N. Amobi, CFA, CPA

July 29, 2021

05:50 PM ET... CFRA Keeps Buy Opinion on Shares of Amazon.com, Inc. [AMZN 3367.13****]:

We keep our 12-month target price of \$4,000 on '22 price-to-sales of 3.5x, near its peers. We raise '21 and '22 EPS estimates by \$5.28 and \$6.27 to \$58.64 and \$72.64. AMZN's in-line Q2 results [factoring in the last Prime Day in June] again highlighted the accelerated shifts in global e-commerce and cloud computing on Covid-19 demand tailwinds. But, Q3 guidance for 10%-16% sales growth and \$2.5B-\$6.0B operating income fell somewhat short, raising some concerns about the potential reversal of stay-at-home shopping trends amid the vaccine rollout. Q2 EPS of \$15.12 vs. \$10.30 was \$2.88 above consensus. Net sales rose 27% [vs. target 24%-30%] including Amazon Web Services [+37%] as well as "other" including digital ads [+83%] and some notable e-commerce sub-segments: third-party sellers [+38%], subscriptions [+32%] and online stores [+16%]. With a notable AWS margin compression [-280 basis points], consolidated EBIT was \$7.7B [vs. target \$4.5B-\$8.0B], after added Covid-19 costs of \$1B [\$14.5B cumulative]. / Tuna N. Amobi, CFA, CPA

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	37	67	37	37
Buy/Hold	14	25	14	14
Hold	1	2	1	0
Weak hold	1	2	1	1
Sell	0	0	0	0
No Opinion	2	4	2	2
Total	55	100	55	54

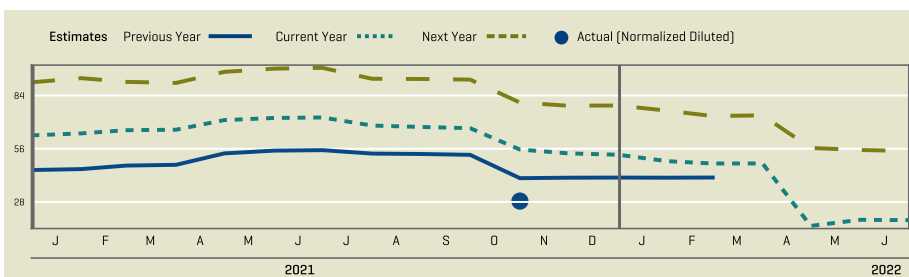
Wall Street Consensus Opinion

Buy

Wall Street Consensus vs. Performance

For fiscal year 2022, analysts estimate that AMZN will earn USD 18.41. For fiscal year 2023, analysts estimate that AMZN's earnings per share will grow by 197.87% to USD 54.85.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2023	54.85	93.30	21.27	40	45.77
2022	18.41	45.12	5.46	35	136.33
2023 vs. 2022	▲ 198%	▲ 107%	▲ 290%	▲ 14%	▼ -66%
Q2'23	10.41	14.98	2.58	11	241.22
Q2'22	3.58	12.85	-0.10	33	700.25
Q2'23 vs. Q2'22	▲ 190%	▲ 17%	▲ 1,000%	▼ -67%	▼ -66%

Forecasts are not reliable indicator of future performance.

Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.

Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS (Stock Appreciation Ranking System), equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index [MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index]], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsule the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share [EPS] estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

CAGR - Compound Annual Growth Rate
 CAPEX - Capital Expenditures
 CY - Calendar Year
 DCF - Discounted Cash Flow
 DDM - Dividend Discount Model
 EBIT - Earnings Before Interest and Taxes
 EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
 EPS - Earnings Per Share
 EV - Enterprise Value
 FCF - Free Cash Flow
 FFO - Funds From Operations
 FY - Fiscal Year
 P/E - Price/Earnings
 P/NAV - Price to Net Asset Value
 PEG Ratio - P/E-to-Growth Ratio
 PV - Present Value
 R&D - Research & Development
 ROCE - Return on Capital Employed
 ROE Return on Equity
 ROI - Return on Investment
 ROIC - Return on Invested Capital
 ROA - Return on Assets
 SG&A - Selling, General & Administrative Expenses
 SOTP - Sum-of-The-Parts
 WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes [paid in the country of origin].

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARs (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARs (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARs (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARs (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



Amazon.com, Inc.

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five (six) model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section of the report for detailed methodology and the definition of Quantitative rankings.

STARS Stock Reports and Quantitative Stock Reports:

The methodologies used in STARS Stock Reports and Quantitative Stock Reports [collectively, the "Research Reports"] reflect different criteria, assumptions and analytical methods and may have differing rankings. The methodologies and data used to generate the different types of Research Reports are believed by the author and distributor reasonable and appropriate. Generally, CFRA does not generate reports with different ranking methodologies for the same issuer. However, in the event that different methodologies or data are used on the analysis of an issuer, the methodologies may lead to different views on the issuer, which may at times result in contradicting assessments of an issuer. CFRA reserves the right to alter, replace or vary models, methodologies or assumptions from time to time and without notice to clients.

STARS Stock Reports:

Global STARS Distribution as of February 08, 2022

Ranking	North America	Europe	Asia	Global
Buy	43.8%	46.2%	40.0%	43.4%
Hold	50.0%	47.4%	55.7%	50.7%
Sell	6.2%	6.4%	4.3%	5.9%
Total	100.0%	100.0%	100.0%	100.0%

Analyst Certification:

STARS Stock Reports are prepared by the equity research analysts of CFRA and its affiliates and subsidiaries. Quantitative Stock Reports are prepared by CFRA. All of the views expressed in STARS Stock Reports accurately reflect the research analyst's personal views regarding any and all of the subject securities or issuers; all of the views expressed in the Quantitative Stock Reports accurately reflect the output of CFRA's algorithms and programs. Analysts generally update STARS Stock Reports at least four times each year. Quantitative Stock Reports are generally updated weekly. No part of analysts' or CFRA's compensation was, is, or will be directly or indirectly related to the specific rankings or views expressed in any Stock Report.

About CFRA Equity Research:

This Research Report is published and originally distributed by Accounting Research & Analytics, LLC d/b/a CFRA ("CFRA US"), with the following exceptions: In the UK/EU/EEA, it is published and originally distributed by CFRA UK Limited ("CFRA UK"), which is regulated by the Financial Conduct Authority (No. 775151), and in Malaysia by CFRA MY Sdn Bhd [Company No. 683977-A] ("CFRA Malaysia"), which is regulated by Securities Commission Malaysia, [No. CMSL/A0181/2007] under license from CFRA US. These parties and their subsidiaries maintain no responsibility for reports redistributed by third parties such as brokers or financial advisors.

General Disclosure

Notice to all jurisdictions:

Where Research Reports are made available in a language other than English and in the case of inconsistencies between the English and translated versions of a Research Report, the English version will control and supersede any ambiguities between such versions. Neither CFRA nor its affiliates guarantee the accuracy of any translation.

The content of this report and the opinions expressed herein are those of CFRA based upon publicly-available information that CFRA believes to be reliable and the opinions are subject to change without notice. This analysis has not been submitted to, nor received approval from, the United States Securities and Exchange Commission or any other regulatory body. CFRA AND ALL RELATED ENTITIES SPECIFICALLY DISCLAIM ALL WARRANTIES, EXPRESS OR IMPLIED, to the full extent permitted by law, regarding the accuracy, completeness, or usefulness of this information and assumes no liability with respect to the consequences of relying on this information for investment or other purposes.

No content in this Research Report may be modified, reverse engineered, reproduced or distributed in any form by any means, or stored in a database or retrieval system, without the prior written permission of CFRA, or used for any unlawful or unauthorized purposes. Neither CFRA nor its third-party providers, as well as its/their directors, officers, shareholders, employees or agents, guarantee the accuracy, completeness, timeliness or availability of the content herein

Past performance is not necessarily indicative of future results.

This document may contain forward-looking statements or forecasts; such forecasts are

not a reliable indicator of future performance.

This report is not intended to, and does not, constitute an offer or solicitation to buy and sell securities or engage in any investment activity. This report is for informational purposes only. Statements in this report are not made with respect to any particular investor or type of investor. Securities, financial instruments or strategies mentioned herein may not be suitable for all investors and this material is not intended for any specific investor and does not take into account an investor's particular investment objectives, financial situations or needs. Before acting on anything in this report, you should consider whether it is suitable for your particular circumstances and, if necessary, seek professional advice. CFRA may license certain intellectual property or provide services to, or otherwise have a business relationship with, certain issuers of securities that are the subject of CFRA research reports, including exchange-traded investments whose investment objective is to substantially replicate the returns of a proprietary index of CFRA. In cases where CFRA is paid fees that are tied to the amount of assets invested in a fund or the volume of trading activity in a fund, investment in the fund may result in CFRA receiving compensation in addition to the subscription fees or other compensation for services rendered by CFRA, however, no part of CFRA's compensation for services is tied to any particular viewpoint or rating. Additional information on a subject company may be available upon request.

CFRA's financial data provider is S&P Global Market Intelligence. THIS DOCUMENT CONTAINS COPYRIGHTED AND TRADE SECRET MATERIAL DISTRIBUTED UNDER LICENSE FROM S&P GLOBAL MARKET INTELLIGENCE. FOR RECIPIENT'S INTERNAL USE ONLY.

The Global Industry Classification Standard [GICS®] was developed by and/or is the exclusive property of MSCI, Inc. and S&P Global Market Intelligence. GICS is a service mark of MSCI and S&P Global Market Intelligence and has been licensed for use by CFRA.

Other Disclaimers and Notices

Certain information in this report is provided by S&P Global, Inc. and/or its affiliates and subsidiaries [collectively "S&P Global"]. Such information is subject to the following disclaimers and notices: "Copyright © 2018, S&P Global Market Intelligence (and its affiliates as applicable). All rights reserved. Nothing contained herein is investment advice and a reference to a particular investment or security, a credit rating or any observation concerning a security or investment provided by S&P Global is not a recommendation to buy, sell or hold such investment or security or make any other investment decisions. This may contain information obtained from third parties, including ratings from credit ratings agencies. Reproduction and distribution of S&P Global's information and third party content in any form is prohibited except with the prior written permission of S&P Global or the related third party, as applicable. Neither S&P Global nor its third party providers guarantee the accuracy, completeness, timeliness or availability of any information, including ratings, and are not responsible for any errors or omissions [negligent or otherwise], regardless of the cause, or for the results obtained from the use of such information or content. S&P GLOBAL AND ITS THIRD PARTY CONTENT PROVIDERS GIVE NO EXPRESS OR IMPLIED WARRANTIES, INCLUDING, BUT NOT LIMITED TO, ANY WARRANTIES OF MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE OR USE AND ALL S&P INFORMATION IS PROVIDED ON AN AS-IS BASIS. S&P GLOBAL AND ITS THIRD PARTY CONTENT PROVIDERS SHALL NOT BE LIABLE FOR ANY DIRECT, INDIRECT, INCIDENTAL, EXEMPLARY, COMPENSATORY, PUNITIVE, SPECIAL OR CONSEQUENTIAL DAMAGES, COSTS, EXPENSES, LEGAL FEES, OR LOSSES (INCLUDING LOST INCOME OR PROFITS AND OPPORTUNITY COSTS OR LOSSES CAUSED BY NEGLIGENCE) IN CONNECTION WITH ANY USE OF THEIR INFORMATION OR CONTENT, INCLUDING RATINGS. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase, hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice."

Amazon.com, Inc.

CFRA's Research Reports may be distributed in certain localities, countries and/or jurisdictions by independent third parties or independent intermediaries and/or distributors ["Intermediaries"]. Intermediaries are not acting as agents or representatives of CFRA. In territories where an Intermediary distributes CFRA's Research Reports, the Intermediary, and not CFRA, is solely responsible for complying with all applicable regulations, laws, rules, circulars, codes and guidelines established by local and/or regional regulatory authorities, including laws in connection with the distribution of third party research reports, licensing requirements, supervisory and record keeping obligations that the Intermediary may have under the applicable laws and regulations of the territories where it distributes the Research Reports.

For residents of the European Union/European Economic Area:

Research reports are originally distributed by CFRA UK Limited [company number 08456139 registered in England & Wales with its registered office address at New Derwent House, 69-73 Theobalds Road, London, WC1X 8TA, United Kingdom]. CFRA UK Limited is regulated by the UK Financial Conduct Authority [No. 775151].

For residents of Malaysia:

Research reports are originally produced and distributed by CFRA MY Sdn Bhd [Company No. 683377-A] ["CFRA Malaysia"], a wholly-owned subsidiary of CFRA US. CFRA Malaysia is regulated by Securities Commission Malaysia [License No. CMSL/A0181/2007].

For Recipients in Canada:

This report is not prepared subject to Canadian disclosure requirements and may not be suitable for Canadian investors.

For residents of Singapore:

Recipients of the Research reports in Singapore should contact the Intermediary of the Research Reports in respect to any matters arising from, or in connection with, the analysis of the report. Where the recipient is not an accredited, expert or institutional investor as defined by the Securities and Futures Act, the Intermediary accepts legal responsibility for the contents of Research Reports in respect of such recipient in accordance with applicable law. When reports are distributed by Intermediaries in Singapore, the Intermediary, and not CFRA, is solely responsible for ensuring that the recipients of the Research Reports understand the information contained in the Research Reports and that such information is suitable based on the customer's profile and investment objectives.

For residents of all other countries:

Research reports are originally distributed Accounting Research & Analytics, LLC d/b/a CFRA.

Copyright © 2022 CFRA. All rights reserved. CFRA and STARS are registered trademarks of CFRA.